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Warner Bros. Discovery (NASDAQ: WBD)

Merger arbitrage: long the target into Paramount's $31.00 all-cash acquisition

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POSITION	CURRENT PRICE	DEAL VALUE	GROSS SPREAD	STRATEGY
Long (Arb)	$26.95	$31.00	+15.0%	Merger Arbitrage

Overview

Warner Bros. Discovery is the media company behind HBO Max, the Warner Bros. studios, CNN, DC, and the Discovery networks. As of June 2026 it is also the target of a signed, all-cash acquisition. This is not a directional call on WBD or on the media sector. It is a merger-arbitrage position, and its return depends on one outcome: whether the Paramount deal closes. That makes the return largely independent of where the broader market goes.

Paramount Skydance Corporation (NASDAQ: PSKY) has a definitive agreement to buy every WBD share for $31.00 in cash, a transaction worth about $110 billion including debt and expected to close in the third quarter of 2026. WBD trades near $26.95, so the gross spread is about 15 percent. The position is simply long WBD to collect that spread. Because the buyer is paying cash rather than stock, there is no acquirer to short and no second leg to manage. The spread is wide for a deal this far along, and the reason is the question this report addresses: how likely is it that the deal breaks.

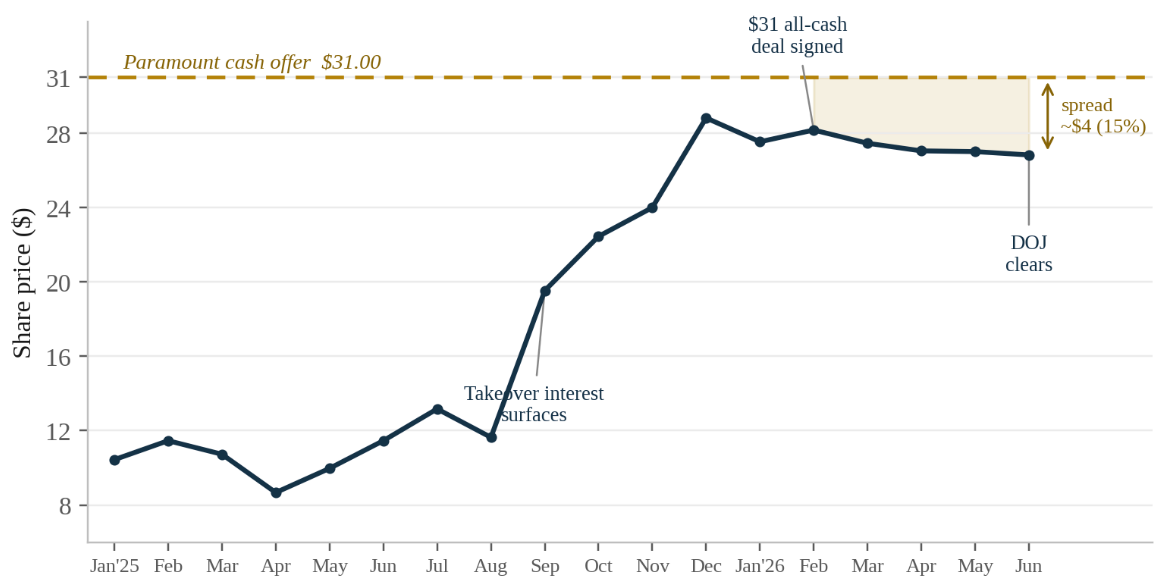

Figure 1. WBD monthly closing price since early 2025. The stock traded near $10 until Paramount's takeover interest surfaced in late 2025, then re-rated as a bidding war with Netflix played out. Since the $31.00 cash deal was signed in February 2026 it has held in the high $20s, parked roughly $4 below the offer. That gap is the arbitrage spread. Source: monthly closes via Digrin; deal terms from SEC filings.

Investment Thesis

The spread is wide for a deal that has already cleared most of its regulatory hurdles. Four points support the position.

1. Federal antitrust is already done

The hardest approval has been granted. The U.S. Department of Justice cleared the deal on June 12, 2026, and regulators in China and Australia have signed off as well. What is left is a group of state attorneys general preparing a lawsuit to block it, plus a European Union review and a new United Kingdom investigation. State attorneys general rarely succeed in blocking a national merger on their own once the federal agencies have approved it. The market is treating that state-level risk as if it could stop the deal the way a federal challenge could.

2. Paramount has money on the line and is working to close

Paramount agreed to pay a $7 billion fee if the deal collapses for antitrust reasons. A buyer does not accept a fee that size unless it expects to close. Paramount is also reported to be discussing concessions, including selling some cable networks, to settle the state suits. That is the behavior of a buyer trying to get a deal done, not one looking for a way out.

3. The downside is limited by a recent rival bid

WBD only agreed to the Paramount deal after a contested fight in which Netflix was the other bidder, and Paramount agreed to cover the $2.8 billion fee WBD owed Netflix to walk away. Because a serious rival bid existed only months ago, and because WBD’s streaming business has kept improving (HBO Max is past 140 million subscribers), a broken deal would not send the stock all the way back to its $12.54 pre-bid level. Estimating where it would land instead is the most important judgment in the trade, and the hardest.

4. The spread pays more than the risk is worth

At $26.95 against a $31.00 cash offer, and assuming the stock would fall to about $18 if the deal broke, the current price implies only about a 69 percent chance the deal closes. For a deal already cleared by the DOJ and two foreign regulators, backed by a $7 billion break fee and active settlement talks, that looks too low. If the real odds are closer to 85 to 90 percent, the position is worth about $29 today and pays the full $31 on close.

Spread and Probability Framework

This position is judged on two things: how likely the deal is to close, and how long it takes. The 15 percent gross spread is what the position earns if the deal closes at $31.00. The table below spreads that return over a few possible closing dates and adds the $0.25 per-share quarterly ticking fee, which WBD holders collect for each quarter the deal stays open past September 30, 2026.

CLOSE DATE	CASH CONSIDERATION	GROSS SPREAD	HOLDING PERIOD	ANNUALIZED RETURN
Sep 30, 2026 (base case)	$31.00	15.0%	~3.2 months	~55%
Dec 31, 2026 (+1 ticking qtr)	$31.25	16.0%	~6.3 months	~31%
Mar 31, 2027 (+2 ticking qtrs)	$31.50	16.9%	~9.3 months	~22%

The next table works backwards from the current price. For a few assumptions about where the stock would trade if the deal broke, it shows the completion probability the market is implying and the loss in a break. The break price is an estimate, not a number you can look up, and it drives the whole trade.

ASSUMED BREAK PRICE	IMPLIED P(COMPLETE) AT $26.95	LOSS IF DEAL BREAKS
$15.00	~75%	−44%
$18.00 (base case)	**~69%**	**−33%**
$21.00	~60%	−22%

At an 85 percent chance of closing and an $18 break price, the position is worth about **$29.05** today, roughly 8 percent above the current price, against a loss of about 33 percent if the deal fails. The position only makes sense if you believe the odds of closing are well above the 69 percent the market is implying. The approvals already in hand are the reason to believe that.

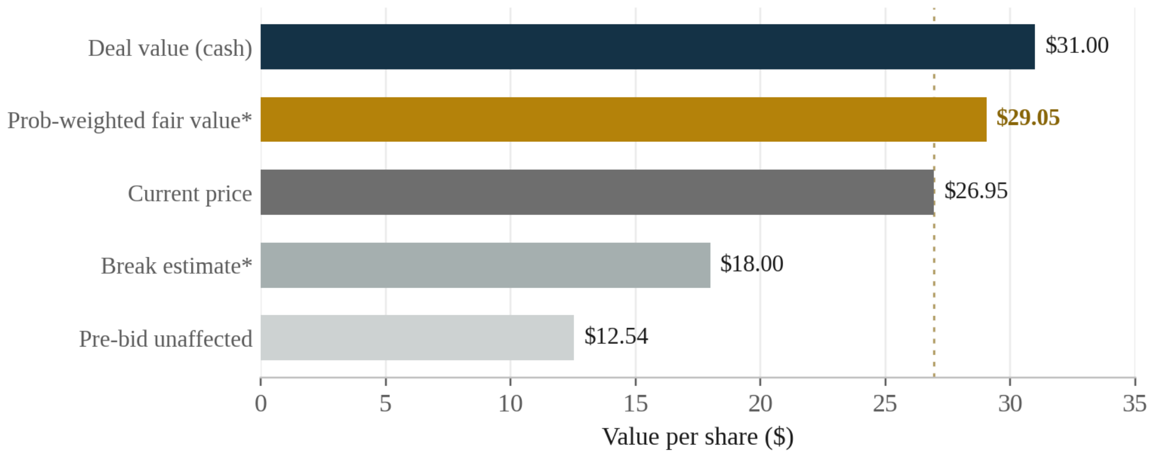

Figure 2. Where the price sits between a broken deal and a completed one. A break lands near the estimated break price, well above the old pre-bid level; a completed deal pays the fixed $31.00 in cash. The gold bar is the probability-weighted value at an 85 percent chance of closing. Starred values are estimates.

What Would Change This View

- **A state injunction.** A successful suit from the state attorneys general, or a court order pausing the deal, is the main risk and the reason the spread exists. It has happened recently: in April 2026 a federal court paused integration of the Nexstar and TEGNA deal over state antitrust claims. A similar order here would widen the spread sharply, even if the deal eventually closes.
- **A worse break price.** If a broken deal sent WBD back toward its pre-bid level instead of the higher level assumed here, the loss would be closer to 50 percent than 33 percent.
- **A slower close.** A longer review in Europe or the United Kingdom pushes the closing date out and lowers the annualized return, though the ticking fee makes up part of the difference.
- **Financing.** The deal relies on large debt commitments. A serious disruption in credit markets before the close is unlikely, but it would threaten the deal.
- **The business itself.** WBD still loses money on a GAAP basis and carries roughly $32 billion in debt. The longer the deal takes, the more that matters if it ultimately falls through.

Regulatory Status

APPROVAL GATE	STATUS (AS OF JUNE 23, 2026)
U.S. Department of Justice (federal antitrust)	Cleared, June 12, 2026
China (SAMR)	Cleared, June 2026
Australia (ACCC)	Cleared, June 10, 2026
European Union	Under review
United Kingdom (CMA)	Phase 1 investigation opened, June 8, 2026
U.S. state attorneys general	Lawsuit threatened (June 5, 2026); settlement talks reported
WBD shareholder approval	Pending

Status compiled from press reporting as of June 23, 2026. Deal timelines move quickly and should be re-checked before acting.

Catalysts to Monitor

Four things will tell you whether the spread is closing. The state attorneys general lawsuit, once it is filed or settled, is the biggest near-term driver. Decisions from the European Union and the UK's CMA will clear or extend the remaining foreign reviews. A finished concession package from Paramount would turn an open regulatory question into fixed terms. And the WBD shareholder vote, followed by an expected third-quarter close, is the finish line. If September 30, 2026 passes without a close, the $0.25 quarterly ticking fee starts to add up.

Conclusion

Warner Bros. Discovery offers a defined return tied to a deal that has already cleared its hardest regulatory test. The 15 percent gross spread implies the market sees only about a 69 percent chance of closing. The federal clearance, the $7 billion break fee, the settlement talks, and the recent rival bid all point to better odds than that, with a cushioned downside if it does break. The risks are real, a state injunction chief among them, and the break price is a judgment rather than a fact. On balance, though, the market looks like it is paying too much for the chance this deal falls apart.

Sources: Paramount Skydance and Warner Bros. Discovery SEC filings, U.S. DOJ and FTC releases, and reporting from Reuters, CNBC, Bloomberg, and MLex. Price history from Digrin; quotes from Yahoo Finance, CNN, and Investing.com, accessed June 23, 2026. Break price, completion probability, and expected value are the author's estimates. For information only; not investment advice.